

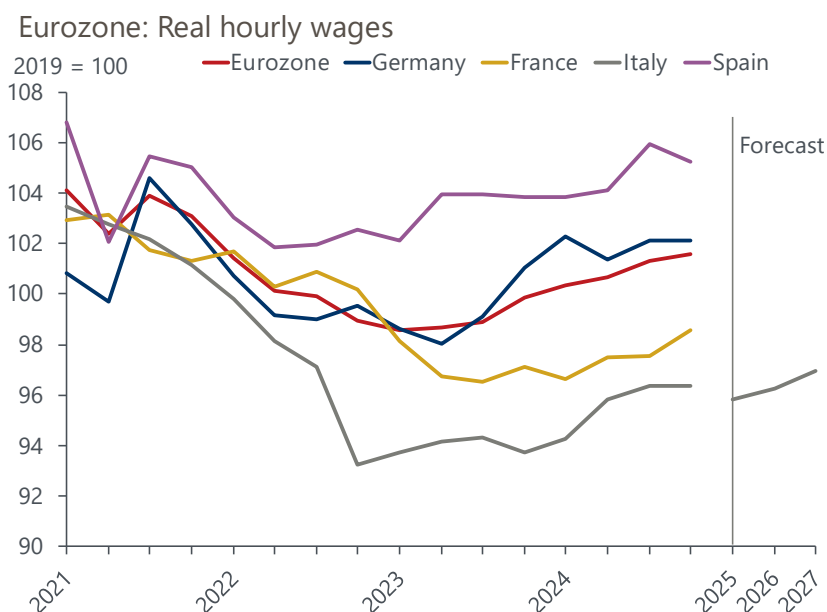
Research Briefing | Italy

Real wages will continue to underperform

- Italy's real hourly wages remain far below pre-Covid levels, underperforming other large Eurozone countries over the past few years, mostly due to subdued productivity growth. Increased job creation in sectors with below-average productivity, such as hospitality, accentuated this trend.
- Unfortunately, we don't see the trends in productivity or wages picking up anytime soon and project real hourly wages to be around 3% below their 2019 level by the end of 2027 and 5% below the 2021 level.
- The impact to disposable income and private consumption growth has been partly offset by strong job creation and increased hours per worker. However, with a quite low unemployment rate and subdued demand, we don't expect this to be a relevant factor going forward.
- Profitability in the private sector isn't to blame as Italian companies performed in line with other Eurozone countries, but the delays to the national labour contracts could've had an impact. This can be seen in the public administration, which accounts for around 6% of employees and has subdued wage increases. Its underperformance is also linked to the country's limited fiscal space.

In contrast to earlier episodes, Italy did not emerge as a laggard during the most recent recovery. Since the end of 2019, Italian GDP increases broadly matched the performance seen in the Eurozone aggregate and outperformed France and Germany. But wages remain one area where Italy has fallen behind its peers. Italian real hourly wages in Q1 were around 5% below their 2019 level, much worse than the Eurozone aggregate (**Chart 1**). A similar pattern can be seen in wages per worker, although the loss is comparably smaller, as Italy posted a larger increase in per hours worked per capita.

Chart 1: Italian real wages have clearly underperformed



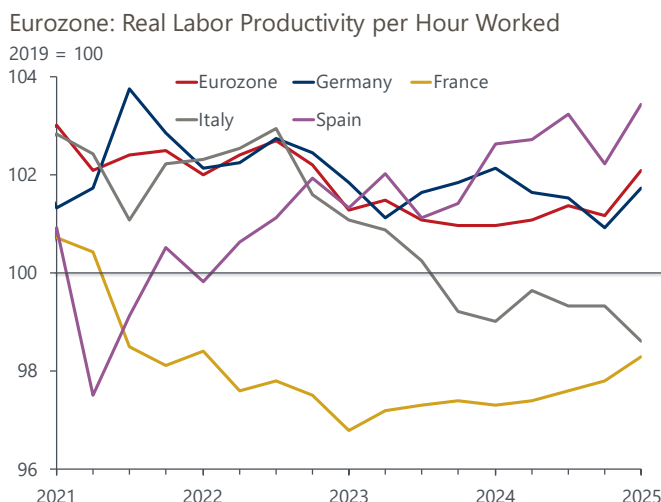
Source: Oxford Economics/Haver Analytics

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Although identifying the exact cause of this is not that straightforward, we conclude that subdued productivity growth coupled with other idiosyncratic factors, such as the lengthy process through which national labour contracts are agreed, are the main reasons behind the poor real wages increase.

Productivity, measured as activity per hour worked, has been particularly poor in Italy and is almost 2% lower than in 2019. All main Eurozone economies posted subdued performance, partly as a consequence of [labour hoarding](#), but Italy's performance has been particularly negative since mid-2022 (**Chart 2**).

Chart 2: Compared to most other Eurozone countries, Italian productivity has done worse

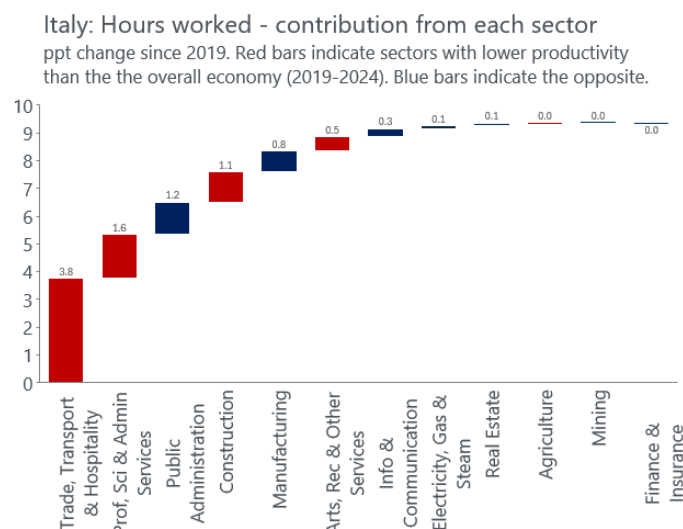


Source: Oxford Economics/Haver Analytics

The analysis of the recent labour market trends shows a striking ability to generate employment, with job creation not only swiftly recovering but also surpassing pre-crisis levels. However, the sharp decline in real wages made labour relatively more affordable than other inputs, such as capital, and is probably one of the reasons why the unemployment rate is at multi-year low, but this extremely positive job creation came with some notable caveats.

As reported by the Italian fiscal watchdog in its [latest](#) annual report, people that were previously inactive accounted for a larger share of employment in the post-pandemic period than before the pandemic. Typically, inactive people have more limited work experience and can be considered less productive than people returning from unemployment.

Chart 3: Recent jobs were mainly created in low-productivity sectors



Source: Oxford Economics

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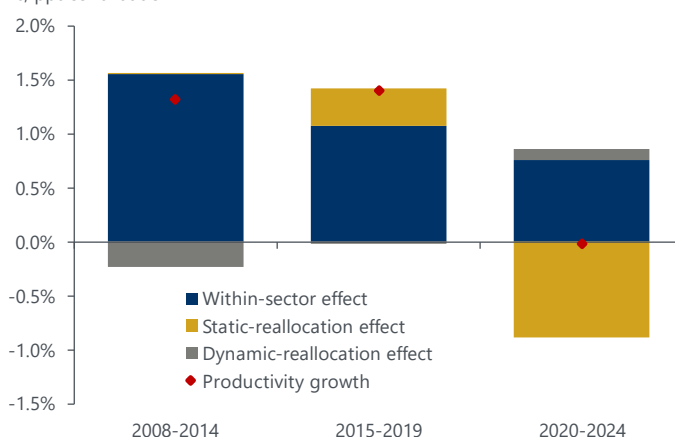
The negative impact to productivity also came from the sectoral composition. Since 2019, nearly half of the increase in hours worked (**Chart 3**) came from the trade, transport, and hospitality sector, with the sector being around 25% less productive than the overall economy. A similar pattern, although less extreme, was also seen in professional, scientific, and admin services, with the productivity of this sector around 15% lower than the whole economy. Public administration, with productivity just above the whole economy, was the third contributor in terms of hours worked since 2019.

Another way to look at this is to [disaggregate](#) the labour productivity growth between the within-sector effect and the reallocation effect, with the latter split into static and dynamic. In Italy over 2008-2019, productivity dynamics were mainly determined by intra-sectoral effects, suggesting that labour productivity growth at the industry level had been positive, on average, although only marginally. But in 2020-2024, labour productivity growth was also negatively impacted by a reallocation effect. This trend, which did not happen at the Eurozone level, backs up the point above, suggesting that more people entered the labour market in low-productivity sectors.

Chart 4: Italian labour productivity was negatively impacted by sector reallocation

Italy: Labour Productivity Decomposition

%, ppt contribution



Source: Oxford Economics

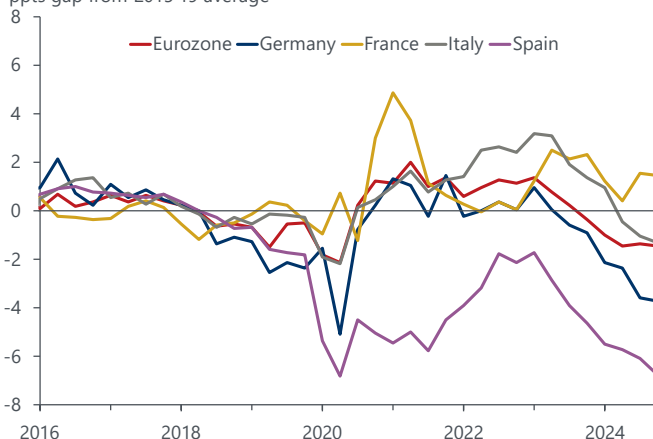
Source: Oxford Economics/Haver Analytics

While the lack of labour productivity growth is a relevant factor, it does not fully account for the sharp decline in real wages, which have fallen more than would be expected based on productivity losses alone. We therefore try to look at non-structural and idiosyncratic Italian factors.

Chart 5: Italian firms' profitability does not stand out as a negative outlier

Eurozone: Profit margin of non-financial corporations

ppts gap from 2015-19 average



Source: Oxford Economics/Haver Analytics

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Profitability in the private sector, excluding financial corporations, is not to blame, as Italian companies posted similar trends to other countries ([Chart 5](#)). Over 2022-2023, their profitability has been better than the 2015-2019 average, and over 2021-2024, it has constantly outperformed the Eurozone average.

Another idiosyncratic factor could be the lengthy procedure through which national labour contracts are agreed. These contracts between organisations representing trade union workers and employers' associations establish minimum conditions on key inputs such as wages and working hours for each sector.

According to the statistical office, which keeps track of contract delays, around half of all employees are waiting for a wage contract renewal. There is a stark difference between the private sector, where this ratio is around 30%, and the public sector, where all workers have been waiting for a contract, accounting for around 6% of the country's employees. Public administration is also the sector that has posted one of the weakest performances in terms of real wages, suggesting that the current process in an environment of more volatile and higher inflation does not help in maintaining purchasing power.

Besides what is caused by the lengthy process in place for national contracts, the underperformance of the public administration wages dynamic is also linked to the country's limited fiscal space and the need to improve the fiscal balance. Since 2019, this sector has had a rather large gap with the rest of the Eurozone in wage performance.

According to a Bank of Italy tracker aimed at measuring wage growth, it is set to slow from the second quarter and to average just above 3% in 2025 and around 2.5% in 2026, helping only marginally in recouping the purchasing power lost over the last few years.

This view is broadly in line with ours, which takes into account the increase in wages at an aggregate level. We don't see the productivity dynamic nor wage growth picking up anytime soon, and project real hourly wages to still be about 3% below their 2019 level by the end of 2027 and 5% below their 2021 level ([Chart 1](#)).

This negative contribution from real wages to disposable income has been partly offset by the strength in job creation and by the increase in per capita hours worked. But with the unemployment rate quite low, presumably close to its long-term equilibrium, and domestic and external demand subdued, we do not expect this to be a relevant factor going forward. For this reason, we project consumption in Italy to lag the Eurozone over the coming few years.

Finally, the current situation and the wage trends seen over the last few years leave the Italian household extremely vulnerable in case of an inflationary spike – something that is not a tail risk, with the Israel-Iran conflict serving as a reminder.